Future Gold

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# Weekly Gold Wrap

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## I. Gold Key Weekly Takeaways

• **Market Review:** At the Nov 6, 2026 close (ET), gold futures and spot staged a strong rebound from the recent low, reclaiming the $4,000/oz level. COMEX gold futures closed at $4,079.50/oz, up 4.92% on the week-the largest weekly gain since late August. London spot gold closed at $4,065.72/oz in a synchronized rally. The rebound was driven mainly by cross-asset reallocation after the US midterm elections. Late-week profit-taking followed a strong nonfarm payroll print and a surge in December rate-hike pricing, but the physical delivery market remained firm: COMEX registered inventories kept drawing down , a tight physical cushion that limits downside.

• **Supply: medium to long-term floor.** High mining costs and slow forward expansion, combined with tighter resource-nationalist controls and a sharp drop in scrap supply after prior heavy selling, have created a feedstock bottleneck for refiners; standard bullion supply remains inelastic.

• **Demand: structural divergence.** Elevated prices have weighed on traditional jewellery consumption and Western retail investment, while institutional strategic buying has surged: undisclosed central-bank purchases hit a new high, global physical gold ETFs saw large inflows, defensive Chinese physical investment grew, and new industrial demand from AI high-computing chip packaging provided an additional floor.

• **Macro: crosswinds persist.** Resilient payrolls and jobless claims, plus a hawkish Fed split, have revived rate-hike expectations and weigh on gold valuations over the longer run. Conversely, post-election long-dollar profit-taking, an escalation in hostilities that pushed crude back above $100, and renewed reflation fears drove the sharp recovery in gold futures and spot.

## II. Global Gold Mine Supply and Regulatory Trends

### 1) Mine Supply Dynamics and Capacity Constraints

#### ① Mine Supply and Production Disruption

- **Costs up, expansion lagging.** Headline miners face a squeeze from inflation and royalties, lifting all-in sustaining costs (AISC), while forward volumes arrive slowly; near-term mine supply stays tight.

- **Scrap collapse tightens total supply.** Q3 recycled gold fell 8% after prior selling was exhausted; total global supply slipped 1% YoY, and refiners' feedstock bottleneck tightened further.

➢ **Major Miners: Cost Pressure alongside Organic Expansion**

- **Agnico Eagle.** Q3 production fell to 814koz on lower payable output at Meadowbank and Canadian Malartic. AISC rose to $1,648/oz on North American and Australian input inflation. The Barnat pit issue trimmed 60–80koz from H2 output, but full-year guidance of 3.3–3.5Moz was maintained, with output expected near the low end; longer-term output is projected to be about 150koz lower in each of 2027 and

2028.

- **Gold Fields.** Its November 5 operating update showed Q3 AISC up 26% YoY to $1,965/oz. The cost surge was not operational underperformance but higher price-linked royalties and stronger producer-country currencies. High prices are feeding back through taxes and fees, locking in a higher cost floor for physical gold.

- **AngloGold Ashanti.** The company targets adding more than 400koz/yr of annual production by end-2029 through optimization of existing operations: Obuasi, Ghana (+130koz); Siguiri, Guinea (+100koz; capex ~$70M); Geita, Tanzania (+100koz; capex $480–580M, milling capacity 5.5Mt/y to 8.5Mt/y); Cuiabá, Brazil (+75koz; capex $200–250M). Incremental volumes ramp only after 2027, so near-term tightness is unchanged; expansion relies on deep mining, grade improvement and infrastructure catch-up, with capex and execution risk. The balance sheet is solid; 2026 guidance remains 2.8–3.17Moz.

- **Chinese miners' overseas listing. Zijin Gold International**, controlled by Zijin Mining, updated its global offering with mine AISC of $1,458/oz, among the world's six lowest-cost operations, reflecting the long-term edge of Chinese-backed low-cost primary deposits in Latin America and Africa.

➢ **Scrap Recovery Decline**

**WGC's latest Q3 data show an unusual pattern:** mine output edged up 3% to a quarterly record of 1,071t, but total supply fell 1% YoY to 1,369t. The old rule — higher gold prices trigger a scrap-selling surge — broke down in 2026: Q3 recycled gold dropped 8% to 314t, the lowest since Q4 2023. Retail selling potential has been front-loaded by prior high prices, and refiners' physical feedstock bottleneck has tightened rather than eased.

② **Resource-Nation Policies and ESG Oversight**

➢ **Pulsed Escalation of Resource Controls**

**- West Africa — Mali and Ghana**. Mali detained executives of Western miners (e.g., Resolute Mining) over tax claims, paralysing logistics across the West African gold belt. Ghana's GOLDBOD Act rules withdrew private small-scale gold trading rights and tightened the domestic refining monopoly.

**- Latin America — Bolivia.** Tighter export licensing and a mandatory 80% repatriation of export earnings within a set window broke the informal cross-border doré supply chain, causing a technical freeze in grey-market flows.

➢ **LBMA V10 Finalization**

LBMA released its 2026 Sustainability and Responsible Sourcing Report and closed final consultation on the 10th edition of the Responsible Gold Guidance in late October and this week. The new rules target untraceable gold routed through Middle Eastern and Southeast Asian hubs. A mandatory digital traceability regime will penalize doré that cannot prove mine-of-origin, free of child labour and mercury contamination; such metal loses exchange delivery eligibility, further locking in supply inelasticity for standard physical gold.

➢ **COMEX Warrants and Physical Delivery**

Registered deliverable COMEX gold inventory fell to about 14.69M oz, near a 10-month low; about 635koz was delivered over the past 30 days, with warrants draining steadily. A further 8.52M oz of eligible, unregistered bullion can be converted into registered warrants as a buffer. Physical delivery is tight and caps downside, but eligible stock provides flexibility; most futures positions close through rolls or liquidation, so systemic short-squeeze risk remains contained.

## III. Downstream: Official Reserves and Retail Jewellery

Q3 2026 global downstream demand shows a reshuffle between strategic institutional accumulation and consumer pullback.

### 1) Central Banks: 63% of Buying Is Undisclosed

WGC revised data show Q3 net central-bank purchases up 42% to 321t. Country-level disclosure indicates 63% of purchases (~200t) came from unreported, undisclosed buying. For geopolitical and de-dollarization sensitivity, non-Western reserve managers are avoiding traditional IMF disclosure channels and accumulating physical gold through opaque OTC or sovereign-wealth-fund routes.

### 2) Divergent Consumption and AI-Led Technology Demand

- Jewellery tonnage at a low, value at a record. Q3 global jewellery consumption fell 17% YoY to 313t, the lowest Q3 on WGC record since 2000, but total spending rose 2% to $43B on high premiums.
- US and Indian retail investment slump. High price uncertainty deterred retail investors: Indian bar and coin demand fell 40% YoY to 55t; US retail gold investment also dropped 40% to about 8t.
- China: the lone growth market. Chinese bar and coin purchases rose 7% YoY to 79t in Q3. Households show strong defensive asset rotation, treating investment bars as a hedge against domestic asset scarcity and low bond yields.
- AI-led industrial demand. Global technology gold demand rose 3% YoY to 85t, the highest since Q4 2021. High-precision packaging for high-computing AI infrastructure lifted electronics gold demand 5% to 72t, a new pure industrial increment.

## IV. Macro Drivers and Policy Impact

### 1) Repricing: Resilient Fundamentals vs. Political Rebound

**- Strong jobs and confidence lift Treasuries.** Initial jobless claims fell to 189k, near a 57-year low; the preliminary Michigan consumer sentiment index rebounded to 51.0. The 10-year Treasury yield touched an intraday high of 5.36%, raising the opportunity cost of holding non-yielding gold.

**- Post-election dollar pullback drives late-week rally.** As uncertainty faded after the midterms, the dollar index pulled back from 102.27 to close the week at 102.02, and longs re-entered gold futures on Friday.

**- Hawkish Fed split delays cuts.** The October 28 FOMC held rates at 3.75% – 4.00% with two dissenting votes. Together with strong data, this lifted December 25bp hike pricing to 67% and pushed cuts toward 2027, capping gold's long-run upside.

### 2) Geopolitical Premium and Reflation

**- Crude back above $100 activates commodity hedge.** Drone attacks on Middle Eastern refining facilities drove WTI up 7.8% on the week to $101.41/bbl. The move revived fears of a second inflation spiral; while hike fears keep gold range-bound, its inflation-hedge and safe-haven properties were both activated, building a solid floor.

**- Supply-shock premium fades.** Political rhetoric ruled out large pre-election strikes on Iran; Saudi pipeline repairs are over halfway and an alternative export route via Oman is in place, so extreme outage fears eased late in the week. Israel-Lebanon tensions and Russia-Ukraine nuclear policy remain in stalemate, with limited near-term market impact.

**- Sino-EU talks contain tariff pressure.** The November 5 – 6 meeting produced 16 trade agreements, with WTO-based tariff reduction talks to be explored; the European Parliament report is only a position statement. No new cross-industry tariffs were imposed this week, leaving pricing to macro fundamentals.

## V. Retail Physical Market and ETF Trends

WGC's November 3 China Q3 report shows households rotating toward physical store-of-value assets. Q3 Chinese gold ETF net inflows reached RMB 26B (~$3.9B), reversing Q2 outflows; holdings rose 27t to 304t, with AUM at RMB 278B (~$41B), near the March peak. Bar and coin investment reached 79t (+7% YoY); year-to-date purchases totalled 393t, a record for the period.

**-Takeaway:** Defensive physical bullion and ETF demand in China has entered a structural boom, shifting the physical allocation logic. Into the year-end gift season and post-holiday seasonal repair, the tonnage-value divergence in jewellery will persist; lightweight, high-premium hard gold and antique-style pieces remain the segments to track.

## VI. Summary and Outlook

**Summary:** Gold rebounded strongly this week, reclaiming $4,000/oz, mainly on post-election dollar profit-taking, before late-week pressure from strong payrolls and hike pricing. The medium-term picture is a tight supply-demand balance: high mining costs, delayed expansion, resource-nation controls and collapsing scrap keep supply inelastic. Demand is bifurcated: overseas retail and jewellery are weak, while undisclosed central-bank buying, Chinese ETF and bar demand, and AI electronics demand provide physical support, and draining delivery warrants underpin the floor. Macro crosswinds persist: resilient jobs keep hike pressure on valuations, while Middle East tensions and oil above $100 sustain safe-haven and reflation support, leaving prices in a wide range.

**Outlook:**Short-term gold will swing between rate expectations and geopolitical risk, likely range-bound, with strong physical support around $4,000/oz. Over the medium to long term, rigid supply, sustained central-bank accumulation and Chinese safe-haven rotation form a solid floor. Watch Fed hike pricing, Middle East developments and COMEX warrant changes; track cross-market spreads and physical premiums in trade; and monitor year-end sales of low-weight, high-premium jewellery in China.

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